

Nikken Standard Terms and Conditions:

DEFINITIONS

1	"(The) Consultant"	Refers to Nikken Sekkei Ltd.
2	"(The) Client"	Refers to State Properties General Authority Kingdom of Saudi Arabia "SPGA"
3	"(The) Party / Parties"	Refers to the Consultant and the Client or both of them as the context requires
4	"(The) Project"	Refers to the SPGA BUSINESS PARK "GOVERNMENT COMPLEX"]
5	"(The) Territory"	The Kingdom of Saudi Arabia
6	"(The) Services"	The entire scope of services offered with the proposal document to which these terms and conditions are attached.
7	"(The) Fee"	The fee(s) offered in the proposal document to which these terms and conditions are attached
8	"(The) Proposal"	The collective set of documents describing the proposed design, scope and fee; in this case comprised of a) the Technical Submission and b) this Commercial Submission.
9	"day" or "days"	Shall mean calendar days, in accordance with the Gregorian calendar, unless otherwise stated.

Covid19 disclaimer

Any scope, methodology, resourcing and/or timeframe described in this Package and the associated Commercial Package are subject to them being deliverable in a safe, secure and responsible manner.

In particular, the Consultant shall comply with the travel, health and working practices, advice and requirements of public health authorities and governments (the Kingdom of Saudi Arabia as well as the Consultant's home country), internal and external advisors and insurers in relation to COVID-19 and any other health and safety related issues.

The Consultant shall not be in breach of contract nor liable for delay in performing, or failure to perform, any of its obligations under the contract, if or to the extent that such delay or failure results from the Consultant's compliance with such working practices, advice and requirements, and the Consultant shall not be held liable for any delays, loss of use, loss of contract, loss of profit, loss of opportunity, loss of business, loss of goodwill, or indirect or consequential loss of any kind howsoever caused arising as a result of such compliance and/or COVID-19 and related issues generally.

GENERAL

- 1 **Conditions of Contract** - These terms and conditions shall apply to all of the Services carried out by the Consultant on behalf of the Client as defined in the Proposal. They shall constitute the sole and entire agreement between the Consultant and the Client until such time as they are replaced by a written, agreed, signed subsequent Consultancy Agreement.
- 2 **Entire Scope** – The Proposal is based on the award of the full scope as defined in the same. If only part of the scope is awarded, we reserve the right to re-assess fees associated with that part.
- 3 **Language** – the ruling language of the agreement as well as the language for communications between the Parties shall be English.
- 4 **Building Code** – The Project will be designed in compliance the urban code of the Royal Commission for Riyadh City “RCRC” directions.
- 5 **Authority approvals** –
- 6 **License** – While the Consultant and all its specialist sub consultants are properly licensed for their profession in their countries of residence, the Consultant does not hold a professional (architectural / engineering) license in the Kingdom of Saudi Arabia.

Costs associated with the obtaining of professional and/or business licenses in KSA are excluded from the Fee and, if found to be necessary will be added to the same.

- 7 **Unforeseeable issues** – Whilst the Consultant presents a lump sum fee as requested the Consultant considers it has to be acknowledged that due to the unprecedented unique nature of the project there may be issued arising during the design that were genuinely unforeseeable which may necessitate additional scope, time or studies.
In such case the Consultant reserves the right to raise the issue and request reasonable adjustments.

PAYMENT

- 8 **Duration for payment** – The Client shall make payment against submitted invoices within 30 calendar days from receipt of the same.
- 9 **Certification** – The Client shall issue to the Consultant a notice if it intends to pay less than the full sum stated in any invoice. This notice shall be issued at least five (5) Days before the due date for the payment and shall specify:
 - a) the sum that the Client considers to be due on the date the notice is served; and
 - b) the basis on which that sum is calculated.

Payment in full in the specified amount of each invoice must be received by Consultant, without any reduction on the basis of taxes, government fees, bank fees, or currency conversion costs.

- 10 **Payment delay** - If an undisputed payment is more than 14 days overdue, the Consultant reserves the right, without prejudice to other rights under the agreement, to, upon 7 days' notice, suspend work until payment is received

INTELLECTUAL PROPERTY RIGHTS

- 11 Intellectual property rights of all documents produced for the Project shall remain with the Consultant. Contingent on the Client's full and timely payment of all sums due under the agreement, the Client is granted royalty-free license to the same only for the intended purpose of the Project.

The Consultant reserves the right to publish Project images or photographs of the completed Project, for purposes of the Consultant's own marketing, subject to obtaining the Client's authorization, which shall not be unreasonably withheld.

LIABILITY & INSURANCE

- 12 **Standard of Care** – Notwithstanding anything else in this Proposal, or any legal requirement of the Country in which the Project is located or any other jurisdiction, the Consultant shall have no other responsibility than to exercise that level of reasonable skill, care and diligence in the performance of its obligations under the Agreement generally prevailing among engineers performing similar services under similar conditions.

The Consultant's design shall be prepared to define the final, completed condition of the Project. The Consultant's Services do not include design or review of temporary works, construction safety programs, or construction means, methods, techniques, sequences, or procedures, or intermediate stages of completion during construction of the Project.

- 13 **Limitation of Liability** – The Consultant shall only be liable to pay damages to the Client arising out of or in connection with this Agreement to the extent that such damages are caused by, and in proportion to, a breach of the Standard of Care.

The Consultant's liability arising out of the performance of the Services shall be limited to

- (a) re-performance of any portion of the Services to correct the breach or
- (b) the direct consequences of such breach where such breach was reported to the Consultant in writing within the agreed duration of liability.

The aggregate amount of liability of the Consultant on this Project shall not exceed the total fee amount OR the accepted limit of a project-specific

Professional Indemnity Insurance, as per Clause 14, whichever is less.

The Consultant shall not be liable for any loss of profit, loss of revenue, loss of use of any facilities, or loss of product or production or any indirect or consequential losses howsoever arising. Any damages shall be limited to amounts reasonably foreseeable and shall not include, and the parties expressly waive, any punitive, special, indirect or consequential damages including, but not limited to, any delays damages, loss of future revenue, income or profits or any diminution of value, financing costs or costs of lost opportunities relating to this Agreement, the Services or the Project, whether or not the possibility of such damages has been disclosed to the other party in advance or could have been reasonably foreseen by such other party.

- 14 **Insurance** – The Consultant maintains Professional Indemnity Insurance covering all its regular work, however due to the unique nature of the Project considers it necessary to purchase project-specific insurance in accordance with requirements to be agreed with the Client. Fees herein do not allow for project specific PI or other insurance(s), cost of such insurance(s) shall be added to the fee proposed with this proposal or born directly by the Client. The same extends to the Consultant's employed sub consultants.
- 15 **Uninsurability** – The Consultant shall be relieved from the obligation to take out or procure the taking out of project-specific insurances to the extent the Project risk is deemed uninsurable by reputable insurance providers.
- 16 **Duration of Liability** – No longer than the minimum defects liability period mandated by local applicable law, from the completion of the scope (The Services) covered under the Agreement, or from the termination of the Agreement, whichever occurs earlier.
- 17 **Force Majeure** – Neither Party shall be liable to the other Party for delays in performing the Services or for direct or indirect costs resulting from such delays where those delays arise from being affected through strikes, civil unrest, acts of terrorism, war (whether declared or not), acts of governmental authorities, exceptionally inclement weather or other natural phenomenon, or any other cause beyond the reasonable control or contemplation of either party.

COSTS EXCLUDED

- 18 **Bonds & Guarantees** – The Fee does not allow for any advance payment bond, performance bond, retention or any form of guarantee(s). Should bonds be required, the cost associated with obtaining, maintaining and renewing such bonds or guarantees shall be added to the Fee.
- 19 **Third Party Charges** – Fees or charges payable to authorities, utility providers or other 3rd parties to obtain information, approvals or certifications are excluded

from the Fees, assumed to be borne and paid by the Client.

- 20 **Disputes** – Our scope excludes any services related to dispute resolution involving 3rd parties, or any adjudication, arbitration, litigation and insurance claims as well to serving as expert witness or consultant in connection with any public or private hearing, arbitration, or legal proceeding.
- 21 **Reproduction** – Submissions will be provided as one set of softcopy and no more than 3 sets of hardcopy documentation. Additional production of large-scale drawings (plots) or sets of hardcopy will be charged to the Client including a handling fee.

TAXES

- 22 **VAT** – Fees herein allow for VAT that Nikken and each of our specialist sub consultants are subjected to in their respective location where the services are carried out, including 15% VAT charged in KSA from 1 July 2020 on services we sub contract in Saudi Arabia. Should KSA VAT rates change we reserve the right to adjust fees for the affected portion of our services accordingly.
- 23 **Offshore services** – Should the Consultant be required to carry out any services based in KSA ("onshore"), such services shall be carried out under separate contract and the resulting costs of establishing and maintaining a permanent establishment (PE) in KSA, as well as the KSA VAT, shall be borne by the Client, in addition to the fees associated with such services. This includes, but may not be limited to, cost of obtaining required licenses, office lease, costs associated with accounting and tax filing, visas, bank charges, etc.
- 24 **KSA Withholding Tax** – The Client shall be responsible for making payment of the appropriate amount to DZIT in accordance with the Saudi tax code and provide the relevant certificates to the Consultant in a timely manner. Should the relevant tax law(s) change in ways that affect the WHT tax rate, the Consultants compensation shall be adjusted as necessary so as to ensure receipt by the Consultant of the same net amount which the Consultant would have received had the change to the tax law not occurred.

TRAVEL

- 25 **Travel Expenses** – A specific number of person-trips from the Consultant's location (Tokyo) to the Client's location (Riyadh) is included in the Fee. Additional travel if requested by the Client shall be reimbursed at net cost based on the following conditions
 - a) Business class airfare;
 - b) Accommodation in 4-star+ properties;
 - c) allowance for petty expenses / person / day counting from departure date in Japan to return date to Japan
 - d) a 15% management fee shall be added to expenses a) and b)

CHANGES & VARIATIONS

- 26 **Variations** – The Services contained within the Proposal are based on facts known at the time of submission of the Proposal including information provided by the Client. Any additional Client requirement(s) or changes to the facts that informed the Proposal will be subject to a revised proposal.

Modifications to the scope, schedule and/or to the current design requested by the Client at any time may constitute a Variation requiring additional effort and incur additional fees. If the Consultant considers itself entitled to an Extension of Time and/or additional fees, it shall notify the Client as soon as possible, with particulars, and the Client shall respond within 14 days with their assessment.

Within 30 days from the initial notice, the Consultant shall submit its estimate of the quantum (time and remuneration) associated with the Variation.

If the event or circumstances that gave rise to the Variation are ongoing and no final estimate can be given within the aforementioned timeframe, the Consultant shall provide an interim estimate instead and a final estimate within 30 days from the date the event or circumstances ended. Additional fees shall be calculated using the agreed rates.

- 27 **Additional Services** – making revisions to drawings, specifications or other documents when such revisions are inconsistent with approvals or instructions previously given by the Client, including revisions made necessary by adjustments in the Client's program or Project budget, shall entitle the Consultant to reasonable adjustment of fees and schedule.
- 28 **Overheads** – Should changes to the scope require additional work by Specialist Sub Consultant(s), or require the employment of additional Sub Consultant(s) or the Consultant be required to employ a nominated Sub Consultant, the Consultant will charge an overhead of no less than 15% on the Sub Consultant(s) Fee(s).
The Consultant reserves the right to refuse acceptance of a nominated Sub Consultant if there are concerns over their capabilities / performance.
- 29 **Changes in Legislation** – Design changes required by the enactment or revision of codes, laws or regulations after Commencement shall entitle the Consultant to reasonable adjustment of fees and schedule.
- 30 **Project GFA** – Fees are based on the GFA represented in the design proposal and good for up to a +/-15% variance. Any further increase or decrease will be deemed to constitute Additional Services for which we will require additional fees.

SCHEDULE

- 31 **Commencement** – Services will be commenced when these conditions are satisfied:
- a) Signing of a Contract Agreement, including a sufficiently detailed baseline brief;
 - b) Receipt of a written Notice to Proceed and;
 - c) Receipt of the agreed Advance Payment ("Mobilization Payment")
- 32 **Phase gates** – Each design stage will only begin upon receipt of written Client approval (with comments, if any) of the previous stage.
The Fee assumes a linear progression of the development of the design, free from Client driven changes that require rework by Consultant. The Consultant shall be permitted to rely on approvals from the Client to advance the design, and shall not be required to advance the design in the absence of Client approvals at each phase gate.
Any additional work resulting from amendment of frozen design will be subject to agreement of additional fees.
Submitted work/packages shall be considered approved in their entirety if a Notice to Proceed into the subsequent stage is received without comments in regard to the previous stage.
- 33 **Schedule delays** – Our fees are based on services being provided continuously and in accordance with the proposed programme, and it is assumed that all other consultants employed by the Client for the project will be in place in a timely manner to avoid any delay or out of sequence working.
- For delay, prolongation or disruption caused by reasons beyond our control and not due to no fault of the Consultant, including input / approvals / decisions to be received from the Client, authorities or third Parties not in the Consultant's employ, the Consultant reserves the right to claim additional fees, according to the duration of the delay and its impact on its workflow.
- The Client agrees to make efforts to review and approve submissions made by the Consultant within 7 business days.
- If Client approvals are delayed, the Consultant reserves the right, to request compensation for the time spent idle or, upon giving (7) days' notice, suspend services until approval is received. The Consultant shall have no liability for delays or any other damages resulting from delayed information, approvals, or decisions from the Client.

SUSPENSION AND TERMINATION

- 34 **Suspension** – The Client shall give at least (14) days' notice if suspending all or parts of the Services. Upon the suspension of the Services, the Consultant shall be entitled to payment of the portion of the Fees up to the date of such suspension.

Upon resumption of the Services any completion date(s) shall be adjusted to take into account any period of suspension and the Consultant shall be entitled to reasonable, additional and actual out of pocket expenses incurred by the Consultant by reason of suspension and subsequent remobilisation of its workforce.

If suspension continues for more than 180 days, the Consultant shall be entitled to terminate the remainder of the Services, upon giving (30) days' notice to the Client, unless the Client instructs the resumption of the Services or an extension to the suspension period is mutually agreed in writing.

- 35 **Termination** – Without limiting its other rights or remedies, either Party may terminate the Agreement with immediate effect by giving written notice to the other Party if the other Party commits a material breach of any term of the Agreement.

In the event of termination, the Client shall make payment to the Consultant for all invoices and amounts outstanding at the date of termination and for that part of the Services completed up to the time of termination and all expenses incurred in terminating the Services.

DISPUTE RESOLUTION

- 36 **Dispute Resolution** – As for disputes between the Consultant and the Client, each Party shall endeavor to resolve any dispute between them promptly and amicably and without resort to any legal process, if feasible within forty-five (45) days of issue of a written notice by one party to the other party of the existence of such dispute.

Within thirty (30) days of issue of such notice, the Parties shall meet in good faith to discuss such dispute. If the parties fail to resolve the dispute amicably within the 45-day period, either Party may refer the dispute to binding arbitration.

- 37 **Arbitration rules** – Any dispute, controversy, difference or claim arising out of or in connection with this contract, including any question regarding its existence, validity, interpretation, performance, breach or termination or any dispute regarding non-contractual obligation arising from or relating to it, shall be referred to and finally resolved by arbitration in accordance with the CIArb Arbitration Rules for the time being in force (the "Rules"), which rules are deemed to be incorporated by reference in this clause.

The arbitration shall be conducted by three (3) arbitrators appointed in accordance with the Rules. The language of the arbitration shall be English and the seat (or legal place) of the arbitration and the venue of all hearings in connection with the arbitration shall be London, England, United Kingdom.

The arbitrators shall be empowered to, but are not required to, award reasonable legal fees (and any other costs of the dispute resolution process) to the prevailing party in any dispute, if such an award is equitable under the circumstances.

The arbitral award shall be made in English and be final and binding upon the Parties.

OTHER

- 38 **Governing Law** – This contract shall be interpreted and enforced under, and disputes shall be decided by, the law of the United Kingdom.
- 39 **Severability** – If any of the terms of the Terms and Conditions are for any reason held to be illegal, invalid, ineffective, inoperable or otherwise unenforceable, it shall be severed and deemed to be deleted from these Terms and Conditions and the validity and enforceability of the remainder of the Terms and Conditions shall not be affected or impaired thereby.

(END)